generation, software testing, query resolution, invoice processing, financial reconciliation, telecom network monitoring and so on."

This is quite an upgrade beyond the AI chatbot capability of drafting emails, checking spelling errors or summarising documents. As AI begins to do a lot more heavy lifting, not surprisingly, an AI agent is being seen as the latest member to join the workforce. So, what happens when the newest member of the team isn't human and India's $315-billion IT services sector faces a fundamental reset?

The immediate impact is a likely contraction in margins of IT services companies, per experts. Bengaluru-based consultancy UnearthInsight's prediction for FY30 says that top-tier IT services firms (TCS, Infosys, HCLTech, Wipro) will see a 2-3% margin deflation as existing IT contracts integrate AI + agentic platform adoption at scale and pass AI productivity gains to clients. Gaurav Vasu, CEO, UnearthInsight, says, "We are already seeing that in the last 12 to 24 months. Mid-tier or Tier-II companies (like Coforge, Hexaware, Mphasis, etc.) could see average margins drop from 16-18% to 14-16% both on the back of AI deployment at scale plus AI investments." Clients are not allowing IT services firms to retain margins and expecting the productivity gains to be passed back as discounts.

Some jobs, too, are shrinking. But more on that later.

COMING OF AGE

Companies are beginning to see the advent in different ways. Some call AI agents 'assistants'. Others describe them as digital teammates. Increasingly, a third category is emerging: the digital worker—not quite software in the traditional sense, but not an employee either. Nitin Rakesh, CEO and Managing Director of IT services company Mphasis, says, "We view AI agents as digital teammates that enhance productivity, reduce cycle times, improve knowledge discovery and help companies accelerate change."

Jaideep Vijay Dhok, Chief Operating Officer—Technology, Persistent Systems, an IT services company, sees three levels of maturity in AI agents. Dhok elaborates, "First is assistive. That is, it just helps manage certain basic things, like summarising an email. Second, you get into automation." That is, the AI agent reads incoming emails and drafts replies. Third, says Dhok, "is where

WILL AI MODELS CHANGE THE CODE FOR **IT SERVICES?**

AI MODELS AND THEIR CAPABILITIES

COGNITION LABS DEVIN

Devin is like a cloud-hosted autonomous software engineer. It can run IT projects. Fortune 500 companies are using Devin, among other tasks, to modernise legacy code

ANTHROPIC CLAUDE CODE

Claude Code is being used for code generation and automating tasks. It is like having a skilled junior programmer living inside the computer's terminal. Instead of just suggesting lines of text, it works like a real assistant that can handle programming chores from start to finish. It can fix bugs, update old files, and clean up messy files

GITHUB COPILOT

A code-completion helper inside your editor. It can translate code, complete sentences, write tests, etc. Instead of doing chores like a separate assistant, it sits next to a human agent and instantly guesses what the human wants to write next

GOOGLE GEMINI 1.5 PRO, GEMINI 4 ARGON

For modernsing legacy systems and cloud migration

NOTE THE LIST IS NOT EXHAUSTIVE
SOURCE BT RESEARCH